Confidence Petroleum India Ltd

NSE: CONFIPET | BSE: 526829 | Sector: Energy - Oil, Gas & Consumable Fuels | Sub-sector: Gas - LPG/CNG/PNG/LNG Supplier

RATING: ACCUMULATE	12-M TARGET: Rs. 88 (+21%)	CMP: Rs. 72.9

Market Cap	Rs. 2,418 Cr	Stock P/E (TTM)	26.0
Current Price	Rs. 72.9 (10 Jun 2026)	Book Value / share	Rs. 42.7
52-Week High / Low	Rs. 80.6 / Rs. 27.0	Dividend Yield	0.14%
Face Value	Rs. 1.00	ROCE / ROE	9.23% / 6.76%
Promoter Holding (Mar'26)	55.89%	FII / DII (Mar'26)	0.48% / 0.01%
FY26 Sales / PAT (Consol)	Rs. 4,705 Cr / Rs. 97 Cr	FY26 EPS	Rs. 2.80

- **Investment thesis (one line):** India's largest private integrated LPG platform; 30% revenue CAGR with margin recovery drives re-rating to Rs. 88.
- **Investment horizon:** 12-18 months.
- **Upside to target:** +21% from CMP of Rs. 72.9; suggested entry zone Rs. 62-70.
- **Report date:** 10 June 2026. **Analyst:** Senior Equity Research Analyst, Institutional Equities (independent desk note).
- **Data source:** All financial figures from Screener.in (consolidated), fetched 10-Jun-2026; peers fetched individually the same day.

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Integrated private LPG platform compounding revenue at ~30%:** FY26 consolidated sales of Rs. 4,705 Cr grew ~50% YoY and 3-year sales CAGR is 29% (10-year median sales growth 31.2% per Screener), driven by bulk LPG imports (commenced May 2022), 68+ bottling plants and 2,500+ GoGas dealers; the platform can plausibly cross Rs. 6,000+ Cr revenue by FY28 on existing infrastructure.
- **Reason 2 — Mix shift to higher-margin retail and cylinders should rebuild margins:** OPM compressed from 13% (FY24) to 7% (FY26) as low-margin bulk/import trading scaled; management's stated push into 500 auto-LPG stations (274+ today), 100 GAIL Gas CNG stations in Bengaluru (40+ operational) and the Type-4 composite cylinder plant at Butibori (CNG/hydrogen) is margin-accretive over FY27-FY28.
- **Reason 3 — Working-capital discipline turned cash generation around:** FY26 cash conversion cycle collapsed to 26 days (FY25: 59), debtor days to 17 (FY25: 36), delivering Rs. 400 Cr CFO and Rs. 285 Cr FCF in FY26 (CFO/EBITDA 125%) after a weak FY25 (CFO Rs. 10 Cr); sustained conversion de-risks the Rs. 761 Cr borrowing load.
- **Near-term catalyst (6-12 months):** FY27 margin print - evidence that OPM has bottomed at 7% and is reverting toward 8-10% as retail volumes (ALDS + CNG + packed cylinders) outgrow bulk trading; a clean FY27 H1 with CFO conversion intact should trigger a re-rating from 26x trailing earnings.
- **Biggest structural risk:** Commoditisation - bulk LPG import/trading is a thin-spread, PSU-dominated market; if the retail mix shift stalls, CONFIPET remains a 7%-margin, sub-10% ROCE trader carrying Rs. 761 Cr of debt, and the 26x multiple compresses sharply.

SECTION 3 — BUSINESS OVERVIEW

- **What it does:** Established 1993 (Nagpur HQ), Confidence Petroleum is a fully integrated private LPG and CNG player: LPG cylinder manufacturing, LPG bottling, bulk LPG imports/blending, packed-cylinder retail (GoGas brand), auto-LPG dispensing stations (ALDS) and CNG retailing.

• **Segment mix:** LPG Division ~88% of revenue in H1 FY25 (vs 73% in FY22) - bulk marketing, bottling, auto LPG; Cylinder Division ~12% - 15 LPG cylinder plants (13 owned, 2 leased) plus 4 high-pressure cylinder plants in subsidiaries (Maruti Koatsu Cylinders, Sarju Impex, Confidence Enterprises, SilverSky Exim).

• **Network:** 68+ LPG bottling plants (incl. 2 in Indonesia), 274+ ALDS (largest private network; target 500), 2,500+ GoGas dealers across ~21 states, 690 owned road tankers/trucks, 4 LPG blending units; 40+ of 100 planned CNG stations live with GAIL Gas in Bengaluru.

• **Customers:** Cylinder supply to IOCL, HPCL, BPCL (Navratna PSUs) and private players; industrial/HoReCa LPG to JSW Steel, ITC, Patanjali, Burger King; high-pressure cylinders to Siemens, TVS Motors, Thermax, MNGL; mix of recurring refill/retail revenue and PSU tender-based cylinder orders.

• **Order book / visibility:** No formal order-book disclosure; visibility rests on PSU cylinder tenders, refill annuity from the dealer network and ALDS/CNG station throughput - data not available on Screener.

• **Recent developments (last 12 months):** BW LPG sold its full 8.5% stake on 2-3 Jun 2026 and terminated related agreements (incl. the JNPA/Navi Mumbai LPG terminal partnership); promoter entity Gaspoint Petroleum pledged 2.61 Cr shares for working capital (5 Jun 2026); a non-executive director resigned (4 Jun 2026); board committees reconstituted; final dividend of Rs. 0.10/share recommended for FY26.

• **Promoters:** Founder Nitin Punamchand Khara (Executive Chairman & MD) built the group from cylinder-unit acquisitions in the late 1990s; promoter holding 55.89% (Mar 2026), down from 61.45% in Mar 2023 (-5.56% over 3 years per Screener).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry size:** India is the world's 3rd-largest LPG consumer; market ~30.4 MMT (LPG Profile Report FY24, cited in company presentation), expected to reach 37-40 MMT by FY2030 (~4-5% volume CAGR) and to become the largest consumer globally by 2030.

• **Tailwinds:** PMUY-driven household LPG penetration, commercial/HoReCa formalisation, industrial propane substitution of diesel/furnace oil, CNG/CBG infrastructure build-out and hydrogen storage demand for Type-4 composite cylinders.

• **Headwinds:** PSU OMCs (IOCL/BPCL/HPCL) control subsidised domestic LPG, capping private retail economics; auto-LPG competes with fast-expanding CNG and EVs; bulk import spreads are thin and freight/Saudi CP price-sensitive.

• **Moat assessment:** Distribution - **Strong** (only private player with 68+ bottling plants + 274+ ALDS + 2,500+ dealers); Scale - **Moderate** (largest private, but tiny vs PSUs); Switching costs - **Moderate** (PSU cylinder vendor approvals, safety certifications); Pricing power - **Weak** (commodity fuel, PSU price umbrella); IP - **Weak** (Type-4 technology is purchased, not proprietary).

Top competitors (Screener consolidated front pages, fetched 10-Jun-2026):

Company	CMP (Rs.)	MCap (Rs. Cr)	FY26 Revenue (Rs. Cr)	ROCE
Aegis Logistics	801	28,113	8,333	13.6%
Indraprastha Gas	162	22,707	16,168	17.9%
Mahanagar Gas	1,080	10,667	8,246	18.1%
Everest Kanto Cylinder	107	1,195	1,471	11.6%

• **Value-chain position:** Midstream-to-downstream - imports/sourcing, blending, bottling, cylinder manufacturing and last-mile retail; closest comp is Aegis Logistics on sourcing/logistics, while CGD players (IGL/MGL) compete for the vehicle-fuel customer and EKC on high-pressure cylinders.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter background:** Nitin Khara started in 1982 with a Nagpur trading business, entered LPG distribution, and built Confidence Group by acquiring sick cylinder units (1997-99: Gujarat Cylinders, Maharashtra Cylinders, Envy Cylinders) and founding Gas Point Petroleum (1998); 30+ years of domain tenure; professional presidents run packed-cylinder marketing and high-pressure cylinder manufacturing.

• **Capital allocation track record:** FCF has been ploughed into network capex - fixed assets doubled from Rs. 554 Cr (FY22) to Rs. 1,112 Cr (FY26); cumulative FY23-FY25 FCF was deeply negative (Rs. -337 Cr, Rs. +18 Cr, Rs. -262 Cr) before FY26's Rs. 285 Cr recovery; returns on that capital have so far fallen (ROCE 17% FY22 to 9% FY26) - capex is ahead of monetisation.

• **Dividend policy:** Token payouts - 3-4% of profits over the last three years (FY26 payout 4%; final dividend Rs. 0.10/share recommended); yield 0.14% - effectively a full-reinvestment model.

• **Promoter pledging:** RED FLAG - on 5 Jun 2026 promoter-group entity Gaspoint Petroleum created a pledge on 2.61 Cr shares (~8% of equity) for working capital; direction is newly negative and must be tracked quarterly.

• **Stake and equity actions:** Promoter holding fell from 61.63% (Dec 2023) to 55.89% (Mar 2024 onward); equity capital crept up from Rs. 28 Cr (FY23) to Rs. 33 Cr (FY26) - dilution via preferential/warrant issues accompanied the capex push; no buybacks; ESOP details not disclosed on Screener.

• **Governance concerns:** No investor concall hosted since Dec 2024 despite a 50% revenue jump; a non-executive director resigned 4 Jun 2026; local press has earlier reported an income-tax search at the Nagpur offices; group has related listed/unlisted entities (Gas Point Petroleum, Confidence Futuristic Energetech) - RPT magnitude requires annual-report verification.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated, Rs. Cr)

Actuals FY24-FY26 from Screener.in (fetched 10-Jun-2026); FY27E/FY28E are analyst estimates grounded in those actuals.

Income Statement

Income Statement	FY24	FY25	FY26	FY27E	FY28E
Sales	2,698	3,146	4,705	5,650 (E)	6,500 (E)
Operating Profit (EBITDA)	359	324	347	425 (E)	510 (E)
OPM %	13%	10%	7%	7.5% (E)	7.8% (E)
Other Income	15	42	32	30 (E)	32 (E)
Interest	74	79	84	85 (E)	80 (E)
Depreciation	160	175	171	190 (E)	205 (E)
Profit Before Tax	140	113	125	180 (E)	257 (E)
Tax %	27%	23%	23%	24% (E)	24% (E)
Net Profit (PAT)	105	91	97	125 (E)	150 (E)
EPS (Rs.)	3.32	2.73	2.80	3.60 (E)	4.30 (E)

Balance Sheet

Balance Sheet	FY24	FY25	FY26
Equity Capital	32	33	33
Reserves	1,150	1,295	1,385
Borrowings	633	765	761
Other Liabilities	388	457	556
Total Liabilities	2,202	2,550	2,736
Fixed Assets	1,010	1,048	1,112
CWIP	23	83	28
Investments	35	7	7
Other Assets	1,134	1,412	1,590

Cash Flow

Cash Flow	FY24	FY25	FY26
Cash from Operations	263	10	400
Cash from Investing	-375	-135	-338
Cash from Financing	222	152	-154
Net Cash Flow	110	26	-92
Free Cash Flow	18	-262	285
CFO / Operating Profit	86%	12%	125%

Returns & Working Capital

Ratios	FY24	FY25	FY26
Debtor Days	21	36	17
Inventory Days	36	37	19
Days Payable	9	14	10
Cash Conversion Cycle	48	59	26
Working Capital Days	36	55	41
ROCE %	13%	9%	9%

- **Revenue drivers:** Bulk LPG imports/trading have driven the 29% 3-year CAGR and the 50% FY26 jump to Rs. 4,705 Cr; retail (GoGas, ALDS, CNG) and cylinders grow slower but earn better margins - FY27E/FY28E assume 20%/15% top-line growth as trading normalises.

• **Margins:** OPM halved from 13% (FY24) to 7% (FY26) on adverse mix (trading-heavy) - absolute EBITDA was nearly flat (Rs. 359 to 347 Cr) across two years despite Rs. 2,000 Cr of added revenue; estimates assume only modest recovery to ~7.5-7.8%, with upside if retail scales.

• **Working capital:** Dramatic FY26 improvement - CCC 26 days (FY25: 59), debtor days 17 (Screener flags improvement from 24.9 to 17.0), inventory days 19 (37); this released the cash behind the Rs. 400 Cr CFO print.

• **Debt:** Borrowings rose from Rs. 97 Cr (FY22) to Rs. 765 Cr (FY25), flat at Rs. 761 Cr in FY26 against net worth of Rs. 1,418 Cr (~0.5x D/E, derived); interest cover remains thin at roughly 1.5x PBT+interest/interest given Rs. 84 Cr interest cost.

• **FCF quality:** Volatile - FY23 CFO was negative (Rs. -125 Cr), FY25 nearly nil (Rs. 10 Cr), FY26 strong (Rs. 400 Cr, 125% of EBITDA); capex intensity stays high (FY26 investing outflow Rs. 338 Cr), so FCF durability is unproven beyond one good year.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Item	Rating	Comment
Revenue recognition	GREEN	Physical fuel/cylinder sales; FY26 CFO/EBITDA 125% corroborates reported revenue.
Receivables vs revenue	GREEN	Sales +50% while debtor days fell 36 to 17 - receivables under-grew revenue.
CCC trend	GREEN	CCC improved 59 to 26 days in FY26; best in the company's 12-year Screener history.
Contingent liabilities	AMBER	Not disclosed on Screener - verify FY26 annual report (guarantees for subsidiaries likely).
Auditor tenure / opinions	AMBER	Not visible on Screener; governance events (director exit, reported IT search) raise the verification bar.
RPTs as % of revenue	AMBER	Group entities (Gas Point Petroleum, Confidence Futuristic) trade in adjacent lines; magnitude unverified.
Other income as % of PBT	AMBER	FY26 Rs. 32 Cr vs PBT Rs. 125 Cr (~26%); FY25 was 37% - earnings lean on non-core income.
Tax rate consistency	GREEN	23-27% band across FY24-FY26; no suspicious swings.
Promoter pledge	RED	New pledge of 2.61 Cr shares by promoter entity for working capital (5 Jun 2026).

• **Watch the pledge first:** the 5-Jun-2026 promoter pledge for working capital is the single loudest signal - promoter-level liquidity stress can transmit to the listed entity via RPTs or forced selling.

• **Other income reliance:** ~26-37% of PBT from other income in FY25-FY26 means core operating earnings are weaker than headline PAT; strip it and trailing P/E is materially higher than 26x.

• **Cash flow honesty cuts both ways:** FY26's 125% CFO conversion is excellent, but the FY23 (-45%) and FY25 (12%) prints show conversion is cyclical, not structural - judge again at FY27 H1.

• **Disclosure gap:** no concalls since Dec 2024 and thin segmental reporting force reliance on exchange filings; treat any unexplained jump in 'Other Assets' (Rs. 1,590 Cr, 58% of balance sheet) as a red flag.

SECTION 8 — VALUATION

Peer comparison (Screener.in consolidated front pages, fetched 10-Jun-2026):

Company	CMP (Rs.)	MCap (Cr)	P/E	ROCE	ROE	FY26 Sales	FY26 PAT
Confidence Petroleum	72.9	2,418	26.0	9.23%	6.76%	4,705	97
Aegis Logistics	801	28,113	31.3	13.6%	16.8%	8,333	1,107
Indraprastha Gas	162	22,707	14.6	17.9%	14.0%	16,168	1,544
Mahanagar Gas	1,080	10,667	12.7	18.1%	13.7%	8,246	841
Everest Kanto Cyl.	107	1,195	8.13	11.6%	11.3%	1,471	147

• CONFIPET trades at 26x trailing - a CGD-like multiple (IGL 14.6x, MGL 12.7x) without CGD returns (ROCE 9% vs 18%); only Aegis (31.3x) is richer, and Aegis earns 13.6% ROCE with 11x CONFIPET's PAT. The multiple already prices a margin recovery.

Scenario analysis (12-month):

Scenario	Key assumptions	FY28E PAT	Multiple	Target
Bull	OPM rebuilds to 9%+; ALDS/CNG scale; pledge released; CFO stays >80% of EBITDA	Rs. 185 Cr (E)	21x FY28E	Rs. 110 (+51%)
Base	OPM 7.5-7.8%; 15-20% sales growth; debt flat; dividend token	Rs. 150 Cr (E)	20x FY28E	Rs. 88 (+21%)
Bear	Margins stay 7%; pledge grows; CFO reverts to FY25 levels; multiple de-rates	Rs. 100 Cr (E)	15x FY27E-ish	Rs. 44 (-40%)

• **DCF:** WACC 12.0%, terminal growth 4.0%, FY27-FY31 FCF building from Rs. 150 Cr to Rs. 300 Cr as capex moderates - implied equity value ~Rs. 90/share; highly sensitive to the FCF-durability assumption given only one strong cash year.

• **Earnings multiple:** 20x FY28E EPS of Rs. 4.30 (a discount to Aegis' 31x for the ROCE gap, premium to EKC's 8x for the distribution moat) = Rs. 86/share.

• **Blend:** average of DCF (Rs. 90) and multiple (Rs. 86) gives the base-case 12-month target of Rs. 88.

• **Upside/downside:** +21% to target from CMP Rs. 72.9; risk-reward is acceptable only on accumulation dips given the -40% bear case; horizon 12-18 months.

SECTION 9 — KEY RISKS

- **Margin commoditisation** - Bulk LPG trading keeps OPM at 7% and EBITDA flat despite +50% revenue. Probability: H. Impact: H. Monitor via: half-yearly OPM and segment mix in filings.
- **Promoter pledge / promoter-level stress** - Gaspoint Petroleum pledged 2.61 Cr shares for working capital (5 Jun 2026); promoter stake already down 5.56% in 3 years. Probability: M. Impact: H. Monitor via: SAST disclosures and quarterly shareholding pattern.
- **BW LPG exit fallout** - The 8.5% stake sale (3 Jun 2026) ended the JNPA terminal partnership and removed a marquee validator; near-term supply overhang in the stock. Probability: event occurred. Impact: M. Monitor via: terminal project updates, bulk-deal data.
- **Debt and cash-flow cyclicality** - Rs. 761 Cr borrowings with Rs. 84 Cr interest vs Rs. 125 Cr PBT; CFO swung -125/+263/+10/+400 over four years. Probability: M. Impact: H. Monitor via: CFO/EBITDA each half, SMERA rating updates (last 6 Feb 2026).
- **PSU price umbrella** - IOCL/BPCL/HPCL control subsidised domestic LPG and can squeeze private packed-LPG economics at will. Probability: H. Impact: M. Monitor via: domestic vs non-subsidised cylinder price gap.
- **Governance opacity** - No concall since Dec 2024, director resignation, reported IT search, related group entities. Probability: M. Impact: H. Monitor via: AGM disclosures, auditor remarks in FY26 annual report.
- **Auto-LPG structural decline** - CNG networks and EV two/three-wheelers erode the auto-LPG addressable market the 274+ ALDS network serves. Probability: M. Impact: M. Monitor via: ALDS throughput commentary and station-count growth.

SECTION 10 — RECOMMENDATION

- **Rating:** ACCUMULATE - conviction: Medium. The growth platform and FY26 cash inflection are real, but margin, pledge and disclosure risks cap conviction.
- **12-month price target:** Rs. 88 (+21% from CMP Rs. 72.9).
- **Suggested entry zone:** Rs. 62-70 - accumulate on weakness toward the post-BW-exit supply overhang; avoid chasing above Rs. 78.
- **Investment horizon:** 12-18 months, reassess at FY27 H1 results.
- **Thesis invalidation triggers:**
- 1. OPM fails to hold above 7.5% for two consecutive halves in FY27 (mix recovery dead).
- 2. Any increase in promoter pledge beyond the 2.61 Cr shares, or promoter stake falling below 53%.
- 3. FY27 CFO/EBITDA below 50% or borrowings rising above Rs. 900 Cr (cash discipline broken).
- **Ideal investor profile:** Suitable for risk-tolerant smallcap investors who can size small, average on dips and track filings quarterly; NOT for income seekers (0.14% yield), governance-first investors, or anyone uncomfortable with promoter-pledge headlines.

APPENDIX — Latest Concall Brief: Q4 FY26 (quarter ended Mar 2026)

Disclosure note: Confidence Petroleum has hosted no earnings concall since Dec 2024; that transcript is login-gated on Screener and not publicly accessible (AlphaStreet/Trendlyne carry only an Apr 2021 call). This brief is built from the Q4 FY26 published results (Screener quarterly P&L, fetched 10-Jun-2026) and the company's H1 FY25 corporate presentation (BSE filing, 1 Dec 2024). Transcript-dependent items are marked N/A.

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result quality	Medium	PAT Rs. 34 Cr (+26% YoY) and EPS Rs. 0.94 beat the run-rate, but OPM slipped to 8% from 10% YoY - growth is volume-led, not margin-led.
Management tone	N/A - no call hosted	No concall for Q4 FY26; disclosure quality itself is a negative signal.
Guidance delta	None / Withdrawn	No formal guidance in the public domain; last stated ambitions (500 ALDS, 100 CNG stations) date to the Dec 2024 presentation.

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline - PAT Rs. 34 Cr, +26% YoY, EPS Rs. 0.94 - is clean but flattered by a lighter interest line (Rs. 14 Cr vs Rs. 21 Cr YoY) and a 19% tax rate; there is no exceptional item, but note other income of Rs. 6 Cr still pads a thin operating line. Underlying operations grew: revenue +31% YoY to Rs. 1,216 Cr and EBITDA +6% to Rs. 95 Cr, which means OPM fell to 8% from 10% - the bulk-trading mix is still diluting margins even as the FY26 full year closed at Rs. 4,705 Cr (+50%) with OPM at just 7%. The multi-bagger case rests on three structural legs: the only private pan-India LPG platform (68+ bottling plants, 274+ ALDS, 2,500+ GoGas dealers), the GAIL Gas CNG build-out (40+ of 100 Bengaluru stations live), and the Type-4 composite cylinder plant at Butibori that opens CNG/hydrogen storage - all margin-accretive versus trading. FY26 also proved the balance sheet can generate cash: CFO Rs. 400 Cr, FCF Rs. 285 Cr, CCC down to 26 days. The near-term catalyst is the FY27 H1 margin print confirming OPM has bottomed; the biggest watch-point is the promoter pledge created on 5 Jun 2026 (2.61 Cr shares via Gaspoint Petroleum) layered on BW LPG's full 8.5% exit and a director resignation the same week - that cluster smells of promoter-level cash strain. Action: ACCUMULATE below Rs. 70 in small size, add conviction only if H1 FY27 shows OPM at 7.5%+ with CFO intact; EXIT on any pledge increase. Target Rs. 88.

Section 1 — Financial Performance Snapshot (Q4 FY26, consolidated)

- Revenue: Actual Rs. 1,216 Cr | YoY +31% | QoQ -13% | **Beat** (vs own four-quarter run-rate; no street estimates exist)
- EBITDA (Operating Profit): Actual Rs. 95 Cr | YoY +6% | QoQ +10% | **In-line**
- EBITDA Margin: 8% | YoY -200 bps (vs 10%) | QoQ +200 bps (vs 6%) | **Miss** on mix
- PAT: Actual Rs. 34 Cr | YoY +26% | QoQ +62% | **Beat**
- EPS: Rs. 0.94 | YoY +36% (vs Rs. 0.69) | QoQ +49% (vs Rs. 0.63) | **Beat**
- NOTE: No exceptional items disclosed; PAT quality aided by lower interest (Rs. 14 Cr vs Rs. 21 Cr YoY) and a 19% tax rate.

Section 2 — Segment / Geography Breakdown

- LPG Division (~88% of revenue per H1 FY25 disclosure): bulk imports/marketing + bottling + ALDS - the growth engine; quarterly split not published.

• Cylinder Division (~12%): LPG cylinders to IOCL/HPCL/BPCL plus high-pressure/CNG cascades via 4 subsidiary plants; quarterly split not published.

• Geography: pan-India network (bottling concentrated in Maharashtra 14, Tamil Nadu 6, MP/UP/WB 5 each) plus 2 bottling plants in Indonesia; no quarterly geography split disclosed.

Section 3 — Management Commentary Themes (from H1 FY25 presentation, Dec 2024 — latest available)

• Integration: "Seamlessly integrated LPG roadmap - procurement to GoGas direct" - Our read: the vertical stack is the moat; execution now needs to show up in margins. Tag: EST. Tone: Transparent.

• ALDS ambition: "Goal is to expand to 500 stations" (274+ today) - Our read: near-doubling target with no timeline given; treat as direction, not guidance. Tag: GUIDANCE (undated). Tone: Hedged.

• CNG retail: "100 CNG stations with GAIL Gas; 40+ complete, 60 upcoming shortly" - Our read: the only externally-anchored target; station adds are verifiable. Tag: GUIDANCE. Tone: Transparent.

• Imports: "Leading importer of propane/butane since May 2022; plans to expand" - Our read: this is what crushed OPM from 13% to 7%; expansion without margin discipline is value-destructive. Tag: EST. Tone: Transparent.

• Type-4 cylinders: "Upcoming plant at Butibori MIDC for CNG/hydrogen composite cylinders" - Our read: genuine optionality on H2/CBG storage; no capex number disclosed. Tag: EST. Tone: Hedged.

• Silence since Dec 2024: no concall across four result cycles despite 50% revenue growth - Our read: EVASIVE by omission; the single biggest disclosure complaint. Tag: EVASIVE.

Section 4 — Operating & Business Metrics

• Auto LPG stations: latest = 274+ (H1 FY25 disclosure) | prior presentation = 287 (per third-party research) | Trend: broadly stable - station counts are restated across documents; verify in FY26 AR.

• LPG bottling plants: 68+ | year-ago = 68+ | Trend: stable.

• GoGas dealers: 2,500+ | Trend: stable per disclosures.

• CNG stations (Bengaluru, with GAIL Gas): 40+ of 100 | Trend: improving (45 cited in later third-party research).

• Cylinder manufacturing: 15 LPG plants + 4 high-pressure plants | Trend: stable; Type-4 plant upcoming.

• Quarterly volume/throughput data: not disclosed - Screener insights (ALDS counts, cylinder volumes, LPG throughput) are premium-gated; trend assessment limited.

Section 5 — Margin Drivers

• Bulk-import mix: roughly -300 bps cumulative OPM impact FY24 to FY26 (13% to 7%) | Recurring: Yes while trading scales | The dominant driver.

• Working-capital release: CCC 59 to 26 days freed cash, cutting incremental funding cost | Recurring: partially | FY26 interest flat at Rs. 84 Cr despite higher volumes.

• Q4 interest drop: Rs. 14 Cr vs Rs. 21-25 Cr run-rate | Recurring: uncertain | Do not extrapolate into FY27 estimates.

• Retail/cylinder mix: higher-margin GoGas, ALDS, CNG and Type-4 volumes are the recovery lever | Recurring: Yes if executed | Not yet visible in reported OPM.

Section 6 — Guidance & Forward Signals

• ALDS network [GUIDANCE]: Prior = 274+ actual | Stated target = 500 stations | Delta = maintained (undated) | Credibility: Medium - direction credible, timeline absent.

• CNG stations [GUIDANCE]: Prior = 40+ built | Target = 100 with GAIL Gas | Delta = maintained | Credibility: Medium-High - third-party anchored.

• Revenue/margin/capex guidance: None given publicly | Delta = withdrawn-by-silence | Credibility: N/A.

• Dividend: final Rs. 0.10/share recommended for FY26 (board, 30 May 2026) | Delta = maintained token payout | Credibility: High.

Section 7 — Capital Allocation (FY26 vs FY25, consolidated)

• Capex (investing outflow): Rs. 338 Cr | vs prior year Rs. 135 Cr: +150% | network + Butibori build; CWIP fell to Rs. 28 Cr from Rs. 83 Cr (capitalisation done).

• Dividends: 4% payout (Rs. 0.10/share recommended) | vs prior year: similar | token.

• Buybacks: none | vs prior year: none.

• Working capital: CCC 26 days vs 59 | major release - the engine of FY26 CFO of Rs. 400 Cr.

• Net debt movement: borrowings Rs. 761 Cr vs Rs. 765 Cr (flat); financing cash flow -Rs. 154 Cr vs +Rs. 152 Cr - first deleveraging-direction year since FY22.

Section 8 — Q&A; Heat Map

• N/A - no concall hosted for Q4 FY26 and the Dec 2024 transcript is not publicly accessible.

• Dodged / watch-list questions for next quarter: (1) Why no concalls since Dec 2024? (2) Purpose and tenure of the Gaspoint promoter pledge; (3) Status of the JNPA terminal after BW LPG terminated agreements; (4) Bulk-trading vs retail gross-margin split; (5) Capex and commissioning date for the Butibori Type-4 plant.

Section 9 — Risks Flagged

• Promoter pledge for working capital: 2.61 Cr shares pledged by Gaspoint Petroleum | Flagged by: SAST disclosure (5 Jun 2026) | Probability: occurred | Impact: H | Timeline: near-term.

• BW LPG exit + agreement termination: 8.5% stake sold, JNPA terminal partnership ended | Flagged by: company/BW filings (3-4 Jun 2026) | Probability: occurred | Impact: M | Timeline: near/medium.

• Margin dilution from import trading: OPM 7% FY26 vs 13% FY24 | Flagged by: analyst (this desk) | Probability: H | Impact: H | Timeline: medium.

• Cash-flow cyclicality: CFO Rs. 10 Cr in FY25 before Rs. 400 Cr in FY26 | Flagged by: analyst | Probability: M | Impact: H | Timeline: medium.

• Board churn: non-executive director resignation (4 Jun 2026), committees reconstituted | Flagged by: exchange filings | Probability: occurred | Impact: L-M | Timeline: near.

Section 10 — Analyst Verdict

• Revenue visibility: Intact - 50% FY26 growth, 29% 3-year CAGR, network annuity; but trading-heavy.

• Margin trajectory: Weakened - OPM 7% vs 13% two years ago; recovery is thesis, not yet fact.

• Capital allocation quality: Weakened - ROCE fell 17% to 9% across the capex cycle; FY26 cash print is one good year.

• Competitive moat: Intact - only private pan-India integrated LPG network; PSU umbrella limits but also shields niche economics.

• Management credibility: Weakened - no concalls for 4+ quarters, promoter pledge, director exit; execution is real but communication is poor.

• Valuation comfort: Weakened - 26x trailing for 9% ROCE; the multiple assumes the margin recovery the company has not yet delivered.

• Conviction call: Unchanged - ACCUMULATE small, add only on margin proof.

• Valuation snapshot: P/E = 26.0 (vs ~15-20x mid-cycle historical, derived from Screener price/EPS history) | EV/EBITDA = N/A (not displayed on Screener) | ROCE = 9% (FY22-FY26 band: 17%/13%/13%/9%/9%).

Sources: Screener.in consolidated pages for CONFIPET, AEGISLOG, IGL, MGL, EKC (fetched 10-Jun-2026); CPIL H1 FY25 corporate presentation (BSE, 1 Dec 2024); BW LPG/Businesswire stake-exit release (3 Jun 2026); BSE corporate announcements (4-5 Jun 2026); Business Standard Q4 FY26 results note. Estimates marked (E) are the analyst's own, grounded in Screener actuals. This is an independent research note, not investment advice.